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BALTIC AUTO SHIPPING, INC.)
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COMPLAINANT,)
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v.)
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DOCKET NO. 14-16)
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))
MICHAEL HITRINOV a/k/a)
MICHAEL KHITRINOV,)
EMPIRE UNITED LINES CO., INC.,)
))
))
RESPONDENTS.)
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BACKGROUND

On August 15, 2016 Complainant moved to withdraw its appeal/exceptions to ALJ Guthridge's Initial Decision (September 15, 2015) and to discontinue this Proceeding. In response, Respondents consented to the withdrawal of the appeal/exceptions, but objected to the discontinuance of this matter (August 30, 2016). In reaction to Respondents' opposition to the discontinuance of this matter, Complainant filed a Reply containing material that was supplied to the Commission, but not to the Respondents (September 2, 2016). Respondents responded, complaining

that withholding the matter provided to the Commission deprived the Respondents of their due process rights.

By its Memorandum Opinion and Order (Served: January 5, 2017), the Commission, *inter alia*, ordered the Complainant to provide the Respondents with the withheld material.

Complainant has provided material to the Respondent in the form of a transcript of a settlement conference ("Transcript") held in another matter, and a settlement agreement that was not signed by the Respondents. (Respondents are without knowledge if this is the same material that was provided to the Commission, but will assume so for purposes of this Sur-Reply.)

POINT I:

INSOFAR AS THE COMPLAINANT RELIES ON THE TRANSCRIPT, ITS MOTION TO DISCONTINUE THIS MATTER ON THE BASIS OF THE RESPONDENTS' "CONSENT" FAILS AS NO SUCH "CONSENT" WAS GIVEN

The Transcript is clear - all that was finally proposed by Complainant, and agreed to by the Respondents, was the withdrawal of the appeal/exceptions by the Complainant.

After a contentious beginning, and subsequent to off-the-record discussions, the Transcript continues:

"MR. CAVANAUGH: Just a minute ago Mr. Hitrinov had some comments on the record and I want it clear that those comments we've now had clarification and that he does agree with the settlement and the matter is settled.

Is that correct, Mr. Hitrinov?

MR. HITRINOV: I would like to have a clarification one more time. I agree, but I just want to make sure it's on the record that the appeal from the FMC Commissions will be withdrawn within 48 hours like Mr. Werner said. If the parties agree like

we said before then I accept it.

Is it correct?

MR. KATZ [Baltic's counsel]: I think that's everything that was put on the record, your Honor.

MR. HITRINOV: Am I correct, your Honor?

MR. CAVANAUGH: You are correct.

MR. HITRINOV: And counsel for the defendant in this case will confirm it; right?

MR. KATZ: What was that?

MR. CAVANAUGH: Do you confirm that on the record?

MR. KATZ: We said that, Judge.

MR. HITRINOV: Then I have no problem.

MR. CAVANAUGH: Thank you, sir.

(Transcript of April 21, 2016 Settlement Conference, p. 14, line 10 – p. 15, line 24) (Complainant's Appendix 'A') (emphasis added; identification of Complainant's counsel added)

Notwithstanding the various charges made by Complainant, it is irrefutable that the scope of the agreement was that the appeal/exceptions would be withdrawn, and not that this matter would be discontinued.

POINT II:

**THE TERMS OF THE "SETTLEMENT AGREEMENT" PROVIDED BY THE COMPLAINANT AS APPENDIX 'B' DID NOT CONFORM TO WHAT WAS AGREED TO
"ON THE RECORD"**

The terms of the "Mutual General Release and Settlement Agreement" ("Settlement Agreement") (Complainant's Appendix 'B') include, among other things, the Complainant's undertaking to "stipulate to the voluntary dismissal of the FMC Proceeding". This relief was not agreed to "on the record". The Settlement Agreement is not signed because it is not in accord with what was agreed to "on the record." Accordingly, it should be disregarded.

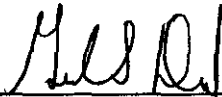
CONCLUSION

The Complainant's motion to withdraw its exceptions to the Initial Decision should be granted, and the Initial Decision should be adopted by the Commission as its own.

The Complainant's motion to discontinue this proceeding should be denied.

Respectfully submitted,

By:



Gerard S. Doyle, Jr.

THE LAW OFFICE OF DOYLE & DOYLE

636 Morris Turnpike

Short Hills, NJ 07078

973-467-4433 (Telephone)

973-467-1199 (Facsimile)

gdoyle@doylelaw.net

Attorneys for Respondents

Michael Hitrinov, a/k/a

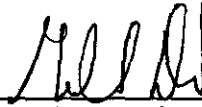
Michael Khitrinov, and

Empire United Lines, Co., Inc.

Dated in Short Hills, N.J. 16th day of February 2017.

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the
RESPONDENTS' SUR-REPLY MEMORANDUM IN RESPONSE TO RECEIPT OF COM-
PLAINANT'S UN-REDACTED APPENDIX 'A' AND APPENDIX 'B' TO COMPLAIN-
ANT'S SEPTEMBER 2, 2016 REPLY TO RESPONDENTS' OPPOSITON TO COM-
PLAANANT'S MOTION TO DISCONTIUE THIS ACTION
upon Complainant's counsel, Marcus A. Nussbaum, Esq., with the address of P.O. Box 245599,
Brooklyn, NY 11224 by first class mail, postage prepaid and by email ([marcus.nuss-
baum@gmail.com](mailto:marcus.nussbaum@gmail.com)); and that the original and five (5) copies are being filed with the Secretary of
the Federal Maritime Commission.



Gerard S. Doyle, Jr.

THE LAW OFFICE OF DOYLE & DOYLE

636 Morris Turnpike

Short Hills, NJ 07078

973-467-4433 (Telephone)

973-467-1199 (Facsimile)

gdoyle@doylelaw.net

Attorneys for Respondents

Michael Hitrinov, a/k/a

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Empire United Lines, Co., Inc.

Dated in Short Hills, N.J. this 16th day of February 2017.